

PT Vale Indonesia Tbk.

(Formerly PT International Nickel Indonesia (INCO) Tbk.)

Mining and Mining Services

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Factory	Sorowako, Kecamatan Nuha, Sulawesi Selatan Phone (0411) 524-9100, 524-9000 Fax (0411) 524-9575, 524-9020 Telex 49806 INCO SKO
Business	Nickels Mining
Company Status	PMA

Financial Performance: In 2011, the Company booked net income amounted IDR 3.026 trillion, decrease from IDR 3.932 trillion recorded last year.

Brief History: The company was founded on July 25, 1968, and carries out its operations under a Contract of Work signed with the Government of Indonesia on July 27 of the same year. This Contract of Work, which expires on March 31, 2008, empowers the company to develop and operate a mining project for nickel and other specified minerals in a stipulated area on Sulawesi island. In 1990, the company floated 49.7 million shares in an initial public offering, with the shares listed on the Jakarta Stock Exchange on May 16, 1990. On January 15, 1996, the company and the government signed an Agreement for Amendment and Extension of the 1968 Contract of Work, extending the company's concession until 2025. Under the terms of the Extension Agreement, the company agreed to a 50% expansion of the existing mining and processing facilities at Sorako to 68 thousand tons of nickel matte per annum. Included in this expansion are the construction of the fourth smelter line, modifications of existing facilities to maximize production, and construction of additional hydropower facilities. In 2000, the company reached an all-time production record of 59,200 tons, or 130.5 million pounds of nickel matte, following the completion of expansion at the end of 1999. The company has taken a decision to delist from the Surabaya Stock Exchange because of the almost complete lack of trading activity in its shares on that exchange and expects to complete this delisting process in 2001. Meanwhile, its shares continue to be traded actively on the Jakarta Stock Exchange. The company proved up new geologic resources in Petea, estimated at 13.6 million tonnes containing 1.79 per cent nickel, which the company expect to bring into production by 2004. On February 1, 2003, the company signed a Cooperative Resource Agreement with PT Aneka Tambang with saprolite ore mined by the company from its Pomalaa East deposit in Southeast Sulawesi.

Shareholders

Vale Canada Limited	58.73%
Sumitomo Metal Mining Co. Ltd.	20.09%
Vale Japan Limited	0.55%
Sumitomo Corporation	0.14%
Public	20.49%

Summary of Financial Statement

	(Million Rupiah)		
	2009	2010	2011
Total Assets	19,157,200	19,692,403	21,956,911
Current Assets	5,914,818	6,398,850	7,077,773
of which			
Cash and cash equivalents	2,453,870	3,633,524	3,619,538
Trade receivables	918,869	1,115,432	598,606
Inventories	1,105,901	916,956	1,480,541
Non-Current Assets	13,242,382	13,293,553	14,879,137
of which			
Fixed Assets-Net	12,963,568	13,167,391	14,321,555
Other Assets	278,813	115,274	142,431
Liabilities	4,292,924	4,588,961	5,914,086
Current Liabilities	817,443	1,421,450	1,621,522
of which			
Trade payables	309,298	372,407	763,081
Taxes payable	81,893	387,233	326,502
Current maturities of			
long-term debt	16,055	n.a	340,050
Non-Current Liabilities	3,475,481	3,167,511	4,292,565
Shareholders' Equity	14,864,276	15,103,441	16,042,824
Paid-up capital	1,282,282	1,226,489	1,236,993
Additional paid-up capital	2,610,944	2,497,340	2,518,728
Retained earnings	10,971,050	11,379,612	12,287,104
Net Sales	7,152,949	11,475,420	11,267,489
Cost of Goods Sold	4,850,955	5,864,335	6,607,271
Gross Profit	2,301,994	5,611,085	4,660,217
Operating Expenses	122,369	249,087	262,800
Operating Profit	2,179,625	5,361,999	4,397,418
Other Income (Expenses)	45,393	(137,571)	(295,762)
Profit (loss) before Taxes	2,225,018	5,224,427	4,101,656
Comprehensive Profit (loss)	1,601,920	3,932,331	3,026,563
Per Share Data (Rp)			
Earnings per Share	187	481	367
Equity per Share	1,739	1,847	1,945
Dividend per Share	n.a	125	79
Closing Price	3,650	4,875	3,200
Financial Ratios			
PER (x)	19.48	10.14	8.72
PBV (x)	2.10	2.64	1.64
Dividend Payout (%)	n.a	26.03	21.53
Dividend Yield (%)	n.a	2.57	2.47
Current Ratio (x)	7.24	4.50	4.36
Debt to Equity (x)	0.29	0.30	0.37
Leverage Ratio (x)	0.22	0.23	0.27
Gross Profit Margin (x)	0.32	0.49	0.41
Operating Profit Margin (x)	0.30	0.47	0.39
Net Profit Margin (x)	0.22	0.34	0.27
Inventory Turnover (x)	4.39	6.40	4.46
Total Assets Turnover (x)	0.37	0.58	0.51
ROI (%)	8.36	19.97	13.78
ROE (%)	10.78	26.04	18.87

PER = 16.98x ; PBV = 1.66x (June 2012)

Financial Year: December 31

Public Accountant: Tanudiredja, Wibisana & Co.

	(million rupiah)	
	2012	2011
Total Assets	21,799,563	20,608,900
Current Assets	5,490,977	6,989,507
Non-Current Assets	16,308,586	13,619,393
Liabilities	5,785,606	5,367,159
Shareholders' Equity	16,013,957	15,241,742
Net Sales	4,032,640	6,150,130
Profit after Taxes	52,320	2,047,333
ROI (%)	0.24	9.93
ROE (%)	0.33	13.43
In June		

Board of Commissioners

President Commissioner Ricardo Carvalho

Vice President Commissioner Arief T. Surowidjojo

Commissioners Mikinobu Ogata, Peter Poppinga,
Harumasa Kurokawa, Conor Spollen,
Irwandy Arif, Idrus Paturusi
Mark J. Travers, Jennifer Maki

Board of Directors

President Director Nico Kanter

Vice President Director Bernadus Irmanto

Directors Fabio Hilal Bechara, Josimar S. Pires,
Michael J. O'Sullivan

Number of Employees 3,191

No	Type of Listing	Listing Date	Trading Date	Number of Shares per Listing	Total Listed Shares
1	First Issue	16-May-90	16-May-90	49,681,694	49,681,694
2	Company Listing	31-Jan-01	31-Jan-01	198,726,774	248,408,468
3	Stock Split	3-Aug-04	3-Aug-04	745,225,404	993,633,872
4	Stock Split	15-Jan-08	15-Jan-08	8,942,704,848	9,936,338,720

Underwriter

PT Danareksa Sekuritas

Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization

Month	Stock Price			Shares Traded		Frequency	Trading Day	Listed Shares	Market Capitalization (Rp Million)
	High (Rp)	Low (Rp)	Close (Rp)	Volume (Thousand Shares)	Value (Rp Million)				
January-11	5,000	4,475	4,600	217,052.00	1,032,126.00	19,615	21	9,936,338,720	45,707,158.00
February-11	5,200	4,675	5,050	182,851.00	911,378.00	15,698	18	9,936,338,720	50,178,511.00
March-11	5,150	4,525	4,775	263,637.00	1,259,948.00	27,569	23	9,936,338,720	47,446,017.00
April-11	5,100	4,675	4,975	224,850.00	1,095,998.00	22,181	20	9,936,338,720	49,433,285.00
May-11	5,000	4,775	4,775	181,462.00	878,385.00	14,242	21	9,936,338,720	47,446,017.00
June-11	4,850	4,375	4,500	138,739.00	634,003.00	14,822	20	9,936,338,720	44,713,524.00
July-11	4,600	4,225	4,250	154,731.00	679,451.00	17,072	21	9,936,338,720	42,229,440.00
August-11	4,325	3,275	3,650	196,592.00	752,722.00	21,889	19	9,936,338,720	36,267,636.00
September-11	4,050	2,850	3,025	124,389.00	431,854.00	21,706	20	9,936,338,720	30,057,425.00
October-11	3,725	2,525	3,650	234,798.00	736,607.00	25,349	21	9,936,338,720	36,267,636.00
November-11	3,650	3,000	3,050	105,240.00	349,325.00	15,009	22	9,936,338,720	30,305,833.00
December-11	3,300	2,975	3,200	93,821.00	291,926.00	11,353	21	9,936,338,720	31,796,284.00
January-12	4,050	3,150	4,000	136,649.00	488,753.00	16,222	21	9,936,338,720	39,745,355.00
February-12	4,050	3,425	3,625	244,576.00	896,760.00	21,630	21	9,936,338,720	36,019,228.00
March-12	3,625	3,300	3,375	176,733.00	606,434.00	16,820	21	9,936,338,720	33,535,143.00
April-12	3,375	3,025	3,100	235,208.00	752,854.00	17,770	20	9,936,338,720	30,802,650.00
May-12	3,125	2,250	2,500	224,183.00	596,323.00	21,967	21	9,936,338,720	24,840,847.00
June-12	2,675	2,200	2,675	238,700.00	579,306.00	21,761	21	9,936,338,720	26,579,706.00

Stock Price and Traded Chart

